

Case Study #3 Findings

To: CEO
From: Department of Analytics
Date: December 6, 2024
Re: Review of Loyalty Program

CistCoh serves a customer base of males and females aged 24–45, predominantly individuals who are willing to travel over two hours to shop. Male customers are most active at the start and end of the year, particularly in Indiana, while female customers peak mid-year, with notable activity in Ohio. Marketing efforts currently utilize platforms like Instagram, Facebook, and TikTok, which have proven effective in engaging audiences. However, refining these strategies and introducing a referral program could further enhance customer engagement and retention.

We have been tasked with determining whether or not CistCoh's advertising is working. To do this, we have analyzed data on Cishcoh sales, customers, and advertising to create actionable insights. All graphs are at the bottom of this paper.

The most effective advertising venues, based on the number of customers, purchases, and total sales, are Instagram: Jean, Facebook: Elias, Cincinnati Inquirer, TikTok: Bob, and TikTok: Gabriel. **To maximize impact, the company should allocate more resources to these platforms, focusing on tailored campaigns to further drive engagement and sales.** Investing in creative and targeted content for these channels will ensure continued customer acquisition and higher revenue. Additionally, introducing a referral reward scheme targeting loyal users from these platforms could amplify word-of-mouth marketing and strengthen customer retention.

CistCoh's female target audience is members who have lower activity towards the beginning of the year, and gradually increase usage peaking during the birthday month seven, or non-numerically, July. These trends align with seasonal shopping patterns, such as preparing for summer activities or purchasing items traditionally used during warmer months. Due to spending and sales being higher during the middle of the year, CistCoh should offer customers special offers earlier on in the year to stimulate spending and boost engagement, ensuring customers consistently utilize their membership year-round. For males, membership usage is highest during birthday month 1, or January. This is likely due to their membership being newly renewed and having an increased motivation to begin the year making the most of the benefits they paid for. Additionally, considering CistCoh's target age range, customers may want to buy in bulk, all at once, to replace any items they have run out of since the last time they shopped. A gradual decline in sales happened around the middle of the year, with membership usage rising again in September, or Month 8. This could potentially be due to members wanting to take advantage of their perks as the renewal deadline approaches. To maintain consistent engagement among this target segment, CistCoh should offer mid-year promotions or send reminders via digital

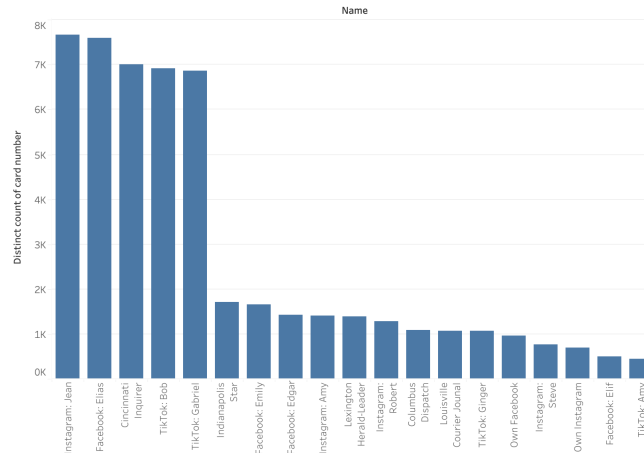
channels, such as email advertising or posting relevant content on social media showcasing their products. Engaging with the consumer by sending personalized messaging that highlights exclusive benefits will incentivize and persuade them to use their membership during the entire year, not just during January.

To further enhance customer acquisition and retention, a referral reward program is recommended. For instance, offering a 10% discount on membership renewals for members who refer new customers would incentivize loyal members to spread the word while rewarding their continued engagement. Such a program could amplify word-of-mouth marketing, drive new sign-ups, and encourage repeat spending, aligning with CistCoh's goals of consistent engagement and growth.

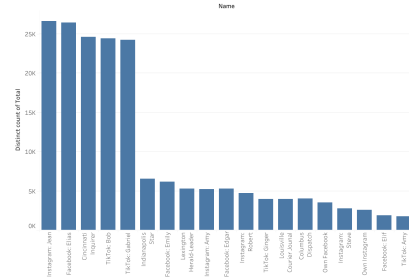
In conclusion, CistCoh should refine its marketing approach by focusing on effective platforms like Facebook, Instagram, and local newspapers while moving away from overly niche strategies. Introducing a referral program and utilizing personalized digital marketing, such as email campaigns and tailored social media content, will help target the middle-class customer base and increase retention. These strategies would ensure sustained engagement, helping customers reach the average \$2,813 in annual sales and supporting CistCoh's long-term growth.

GRAPHS

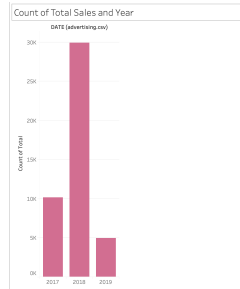
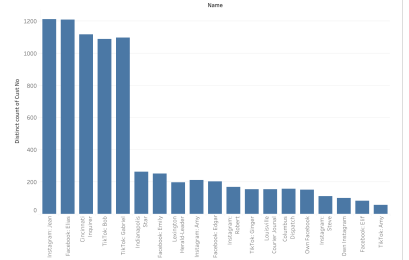
Advertising Venues in terms of Number of Purchases



Top Advertising Venues in terms of Total Dollars Sold



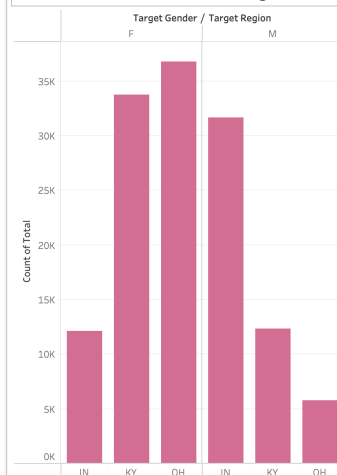
Top Advertising Venues in terms of Number of Customers



Females Lead In Each State for Total Sales

Gender	State		
	IN	KY	OH
F	1,009,685	719,447	1,480,831
M	911,535	594,105	1,213,057

Count of Total Sales Based on Target Gender and Target Region



Count of Sales Based on Gender and Bday Month

